

State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION

BLUE SHEET

Blue Sheets are a department's final bill analysis and provides the Commissioner an opportunity to weigh in on legislation that has passed, with a recommendation to the Governor on action that may be taken— to enact the bill, to veto the bill, or to allow the bill to become Law without signature (LWOS). Much of the information requested in the Blue Sheet can be taken from the department's bill analyses (BA), which were initially submitted at the time the bill was introduced and updated throughout the legislative process.

Blue sheets are due to the GLO three days after the enrolled bill appears on basis, or sooner by request.

Department: DOR

Date: 5/20/2026

Bill Number: SB 130

Short Title (as it appears on BASIS): FISHERIES PROD DEVELOPMENT TAX CREDIT

What action do you recommend the Governor take?

Select one.

☒ **SIGN** ☐ **VETO** ☐ **LWOS**

Action Justification – Why do you recommend the above action?

Please be specific.

The Tax Division is neutral on the outcome of this bill. It is purely a policy decision. The fishing industry has stated that expanding the credit will increase their profits at a time that they need it. The downside is that it will cost the state revenue. Given statements from the GOA in support of reducing taxes to support industry in Alaska, we suspect this is a bill the GOA will want to sign.

What does this Bill do?

In addition to providing a succinct bill summary, please also consider the following: Why is this bill needed? How does it specifically change department programs? What is the anticipated impact on the public, the private sector? Does this bill align with the priorities of Governor Dunleavy?

Under current statute, the Fisheries Product Development Tax Credit is available for qualified expenditures for new property used to produce value-added products from salmon, herring, pollock, sablefish, and Pacific cod ("eligible fish"). The credit is 50 percent of qualified expenditures up to 50 percent of the fisheries business tax liability incurred from the processing of eligible fish during the tax period. Additionally, an unused credit can be carried forward three

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years. To be eligible for the credit, the property must be placed into service on or after July 8, 2022, have a useful life of three years or more, and meet category and use requirements. The credit is scheduled to be repealed on January 1, 2027. This bill makes the following changes to the Fisheries Product Development Tax Credit:

- (1) Extends the sunset date from January 1, 2027, to December 31, 2036.
- (2) Requires the department to make a preliminary determination within 60 days of receiving information from a taxpayer as to whether a taxpayer's proposed investment qualifies for the fisheries product development tax credit under AS 43.75.
- (3) Expands the fisheries product development tax credit:
 - a. from only applying to qualified investments for salmon, herring, pollock, sablefish, and Pacific cod to qualified investments for "any species of fish or shellfish;"
 - b. to include an investment that "increases the quality and value of eligible fish;"
 - c. to include freezers and other temperature-reduced technologies in the list of equipment that would qualify as an investment for the credit.

This bill would be effective retroactive to January 1, 2026, meaning that the credit expansion provisions would apply for the 2026 tax year, impacting revenues received in FY2027.

Detailed Sectional Analysis

The full sectional analysis of the bill should be completed by the lead agency. Other departments should include an analysis for sections of the bill affecting their agencies.

Section 1 Updates AS 43.05.230(m) so that the number of recipients and total amount of tax credits claimed is reported by species of eligible fish, rather than by "type."

Section 2 Amends AS 43.75.037(b)(2) to extend the deadline for property that qualifies for the credit from after December 31, 2026 to after December 31, 2036.

In effect, the tax credit program continues for an additional 10 years.

Section 3 Requires the Department of Revenue to issue a preliminary determination on whether an investment qualifies for the credit within 60 days of receiving the taxpayer's submission.

Section 4 Aligns with Section 1 by requiring taxpayers to agree that their credit-related information can be publicly disclosed by species of eligible fish.

Section 5 Broadens "eligible fish" to include any species of fish or shellfish, rather than the former limited list (salmon, herring, pollock, sablefish, Pacific cod).

This significantly expands potential credit eligibility.

Section 6 Clarifies and expands what equipment and property qualify, including:

- Additional types of processing equipment.

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- Ice-making and new temperature-reducing technologies.
- Equipment to turn fish waste into saleable products.

Also clarifies exclusions (vehicles, incidental tools, certain modifications, etc.).

Section 7 Defines “used predominantly” as 51 percent or more of the time to determine whether property qualifies.

Section 8 Extends the program’s repeal date from January 1, 2027 to January 1, 2037.

Section 9 Makes the Act retroactive to January 1, 2026, ensuring eligibility for investments made earlier in 2026.

Section 10 Updates the effective date for a prior section in SLA 2022 from 2027 to 2037, maintaining consistency with the extended timeline.

Section The Act takes effect immediately under AS 01.10.070(c).

Companion or Similar Bills

Please note companion legislation, the sponsor of the companion legislation, and identify any “rider” bills or provisions from other legislation that was included in this final bill. Please include the name of the sponsor of the “rider bill” or provision. If it was added as an amendment in a committee – please indicate the name of the legislator that sponsored the amendment.

Companion: HB 129, made it to H.FIN

Support/Opposition of the Bill

Please identify names, organizations, titles, and phones numbers of those who testified in support or in opposition of this bill.

Support: Julie Decker, President, Pacific Seafood Processors Association (PSPA); Lilani Dunn, Executive Director, Bristol Bay Regional Seafood Development Association (BBRSDA); Jim Janses, Lynden Inc.; Mike Erickson, President/CEO, Alaska Glacier Seafoods Inc.; Cassandra Squibb, Chief Marketing Officer, Copper River Seafoods; Tomi Marsh, Savage Inc.; Megan O’Neil, Director of Government Affairs, Canfisco Group; Shannon Carroll, Director, Alaska Public Affair, Trident Seafoods; Matt Alward, President & Tracy Welch, Executive Director, United Fishermen of Alaska (UFA); Wanetta Ayers, Executive Director, Southwest Alaska Municipal Conference (SWAMC); Seth Stewart, Yakobi Fisheries LLC; Robert Venable, Executive Director, Southeast Conference; and Leila Kimbrell, Executive Director, Resource Development Council (RDC).

Opposition: None listed.

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Bill Signing ceremony suggestions (if applicable)

Please provide information for consideration for a bill signing ceremony. Information that is helpful includes: a specific conference, event, venue, date, and the names and contact information of stakeholders who should be considered for an invitation to the bill signing ceremony.

Consider having a signing ceremony and inviting the seafood associations that supported the bill.

Commissioner's Signature: Janelle L Earles Date: 5/21/2026

I have reviewed the above information and provided it to the Governor's Legislative Office for consideration of an action by the Governor on legislation passed during the second session of the 34th Alaska State Legislature.

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